

THE GREAT DIVERGENCE 1900-2000

★ DEFINITION

The economic & technological gap that emerged between Western Europe and other major civilizations (mid 19th century)

↳ particularly China: Opium wars (1839-1842)

↳ even in Europe (North / South)

19th redefined scale
of wealth & accumulation

★ ECONOMIC POWER INCREASE POLITICAL POWER

• Growth = labour + resources

① LABOUR

→ เพิ่มประสิทธิภาพ (เทคโนโลยี)

→ เพิ่มปัจจัย (จำนวนแรงงาน)

↳ labour intensive production → extensive growth

↳ technology help maintaining same labour & resource input
w higher growth → intensive growth

② RESOURCE

• Malthusian dynamic model (Thomas Robert Malthus)

↳ Income gains trigger population growth until wages return to subsistence (คนเพิ่มใช้ทรัพยากรเพิ่ม)

↳ Income ↑, Birth rates ↑, Mortality ↓

↳ Population ↑ Income per capita ↓

↳ Equilibrium @ subsistence wage

Malthusian trap

↳ รายได้ต่อหัวลดลง
จากข้อจำกัดทรัพยากร

• Additional role of commerce → Smithian growth

↳ productivity could rise w scale, specialization & institutional development

- Smithian Division of labor

- ① Capital accumulation → Higher output

- ② Higher output → large market

- ③ Large market → greater specialization

- ④ Specialization → new machinery & tools

- ↳ บัณฑิต. เวเนซุเอลา (trade expansion) + org. division → self regulated

- ↳ growth of urban centers (Eurasian + African)

- Help challenged Eurocentric narratives

- ① Explain global inequality

- ② Impact of institutional & cultural differences (local vs. colonial)

- ③ Future economic development

- ④ Challenging eurocentric narratives (new ways to integrate agencies)

- ★ RIGHTS & ALL THE WEALTH

"You can be democratic at home and ruthlessly imperial abroad"

- (1881-1956) French Control over Tunisia - Jeffrey Sach

- ↳ pass its labor rights law (Code du Travail) → ยึดกุม

- ↳ Tunisia was under Ottoman rule → French invasion justified under the pretext of securing region under threats

- ↳ ปล่อยให้ชาวฝรั่งเศสเข้ามาทำงานในบ้านของตัวเอง แต่กลับครอบงำประเทศอื่น → ทำงานแทนโลกที่อื่น

★ TRADITIONAL WESTERN EXPLANATIONS

- ① ADAM SMITH: China as impoverished, Chinese workers in desperate conditions ^{จน}
- ② MONTESQUIEU: China as a despotic state, principle is fear
- ③ MALTHUS: blamed uncontrolled reproduction
- ④ MARX: "Asiatic mode of production": hot climate required irrigation
↳ large bureaucratic states that stifled initiative
↳ รัฐเป็นเจ้าของที่ดินรวม → แร่ทองสั่นเค้น → แร่ทองเกอหนี่
↳ สัมพันธสัมพันธ์ ex. จักรพรรดิ
- ⑤ WEBER: capitalism, protestant work ethic, European / political frameworks

★ CALIFORNIA SCHOOL OF CHALLENGE

- Kenneth Pomeranz & California school (group of scholar known for global economies theories & great divergence) challenged traditional narratives
- key arguments:
 - ① Living standard in 1800: comparable between China's most advanced regions and prosperous Northwest Europe
 - ② Europe's advantage was primarily geographical luck: access to coal & colonial resources that relaxed ecological constraints
 - ③ Chinese technology: sophisticated, focused on resource efficiency over labour savings (ใช้ทรัพยากรอย่างมีประสิทธิภาพ > ประหยัดแรงงาน)
 - ④ Cultural claims were based on ignorance (ล้มล้างตำนาน)
↳ China had active intellectual communities, novel literature, well marked

★ THE LONG 18TH CENTURY

① POLITICAL TRANSFORMATION

- permeation of enlightenment ideas, American revolution, French revolution & Napoleonic wars
- The Glorious Revolution 1688 (England)
 - ↳ Catholic king got overthrown by protestant queen
 - ↳ People revolts w fear of royal absolutism
 - ↳ Monarch bounded by law
 - ↳ principle of parliamentary supremacy
↓
Beginning of constitutional monarchy

② ECONOMIC & INDUSTRIAL CHANGES

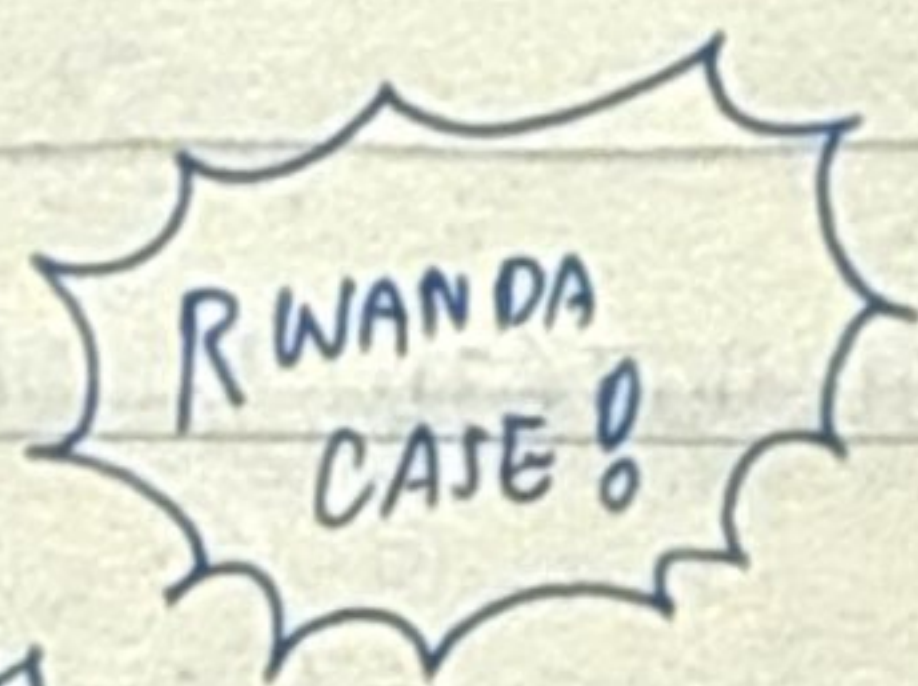
- Agricultural revolution → ไร่เลื่อนลอย
- less labour intensive + increase food production

③ COLONIAL EXPANSION & GLOBAL INFLUENCE

- Atlantic slave trade : system of extraction from Latin Americas & Africa
- Ended w Congress of Vienna
 - ↳ balance of power reestablishment

★ COLONIALISM

- Europe conquered 84% of the world
- Institutional legacy & Economic development
 - ↳ colonial institutions often imposed structures that benefited the colonisers at the expense of local populations
 - ↳ persistent inequality & hindered long term economic development
- Influence on Political stability & Governance
 - ↳ British colonies often benefited from stable institutions
 - ↳ Indirect rule: support local gov. structures
 - ↳ Other colonial power: weaker institutions, instability
- Impact on social structures & inequality
 - ↳ entrenched social inequalities
 - ↳ favouring particular groups over others
 - ↳ long-lasting social divisions
- Colonial institutions & legal systems
 - ↳ imposition of colonial legal systems clashed w/ pre existing laws
 - ↳ legal pluralism → crime rates ↑, effectiveness of state legal system ↓



→ จำกั้ดโดยวิธี

★ CONQUEST (pre 1500s, pre colonialism)

- Mercantilism + naval technology (extractive + exclusionary, off-shore control of borders)
- Reasons: access to raw materials + captive markets, religion, prestige

ASPECT	COLONIALISM	TERRITORIAL CONQUEST
KEY FEATURE	extended domination & transformation	acquisition through force
POPULATION SETTLEMENT	frequent & systematic	Rare & absent
Governance	New legal / social / econ orders	use pre-existing structure
IDEOLOGICAL FOUNDATION	Racial, civilising superiority	Military / political ambition
Experience of ruled	Long-term subjugation & dispossession	often short-term & transitional

★ AMERICA ⇒ MASSIVE GAME

- Unlimited resources ⇒ supply chain
- Rise of Europe estate, advancement in financial market
- Discovery of silver & gold
- Different types of colonies → different subsequent branch settler
extractive
- Funded educational institutions → schools cater global colonial administration

↳ Eng. ใช้ระบบของอังกฤษเป็นหลักในการบริหาร

★ GEOGRAPHY VS. INSTITUTIONS

Factors shaping
colonial post colonial
structure

GEOGRAPHY

INSTITUTIONS

• FACTOR ENDOWMENTS (nature)

- ↳ climate, oil, resources
- ↳ shaped types of economic activities in colonies

- ↳ Tropical regions: slavery, unequal land distributions

• INEQUALITY

- ↳ regions w plantation economies

- ↳ highly unequal societies

- ↳ elites control large lands

- ↳ concentrated wealth in

limited areas

• CONTRAST W SMALL SCALE

AGRICULTURE

- ↳ colonies w more temperate

climate (North America)

- ↳ more inclusive institutions

- ↳ more equitable distributions of

land & labor

- ↳ better local economic gains

- ↳ Democratic gov.

• COLONIAL INSTITUTIONS

- ↳ regions settler mortality ↑

- ↳ extractive institutions

- ↳ exploited local resource

w/out longterm settlement

- ↳ limited property rights,

authoritarian rule

• SETTLER COLONIES

- ↳ regions European can settle

- ↳ inclusive institutions protected

property rights, encourage investment

supported long term economic growth

- ↳ inclusive policies

• INSTITUTIONAL PERSISTENCE

- ↳ persist long after independence

- ↳ shaping long term development

- ↳ Inclusive institutions

- ↳ economic growth

- ↳ democratic governance

- ↳ extractive institutions

- ↳ inequality

- ↳ hindered development

★ U.S. OVERTAKE & 19th CENTURY TURNING POINT

- U.S. → unlimited resource → large economy of scale, extensive growth by technological advancement
- WWI & WWII → Europe dependent on U.S.
- After industrial revolution → other countries tried to replicate UK but can't
- Many countries even in Europe were left behind
↳ distance from Atlantic Ocean

East Germany
← Balkans
Italy

CONTRIBUTION	COLONIAL ROLE	EFFECT ON EUROPE
Raw materials	exploited crops/minerals	Industrial growth, factory input
Market Access	Forced colonies to buy manufacture	Sustained industrial exports
Capital growth	Profits from trade, slavery and land	Urban wealth accumulation
Urbanisation	Driven by industrial jobs/wealth	Expansion of towns, cities